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MOTION

TO STRIKE AND DISMISS CROSS-COMPLAINT OF DRNK COFFEE + TEA FRANCHISING AND
THOMAS NARIMAN OR FOR JUDGMENT ON THE CROSS-COMPLAINT

Moving Party: Plaintiffs Ryan

Suavet, Laetitia Suavet Vinciguerra, and I Think I Got It, LLC (The Ghilezan
Law Firm)

Responding Party: Defendants DRNK Coffee + Tea Franchising,
LLC and Thomas Nariman (Yadidi Law Firm)

Ruling: Motion to strike and
dismiss is GRANTED.

This is a business dispute arising out of franchise contracts and related agreements between Plaintiffs Ryan Suavet, Laetitia Suavet Vinciguerra, and I Think I Got It, LLC (Plaintiffs) and Defendants DRNK Coffee + Tea Franchising, LLC (DRNK), 110 Sunshine Smoothies, Inc. (110SS), Thomas Nariman, Gholam Hossein Atighehchi, and Fariba Atighehchi. On August 7, 2026, the Court struck the answers of DRNK and Mr. Nariman (the DRNK Defendants) and entered their defaults as a terminating sanction for a lengthy pattern of misconduct. Plaintiffs now move to strike or dismiss the DRNK Defendants' cross-complaint against them, or to enter judgment in their favor on the cross-complaint.

BACKGROUND

The Court will restate the pattern of misconduct on which the August 7, 2026 order defaulting the DRNK Defendants was based.

On March 30, 2023, the Court issued an order, *inter alia*, overruling the DRNK Defendants' objections to the recommendation of Judicial Referee Hon. Kirk H. Nakamura (Ret.) to impose substantial discovery sanctions on the DRNK Defendants. (Ruling on Matters Taken Under Submission, filed March 30, 2023.) The referee's recommendation ruled on Plaintiffs' motion for sanctions which argued that, in response to a court order to produce documents, the DRNK Defendants produced seven falsified franchise agreements purportedly executed by DRNK and 110 Sunshine on December 28, 2015, each with a notary's seal indicating the notary's commission was not issued until February 11, 2017. Based on Plaintiff's evidence that the agreements were falsified, Judge Nakamura initially directed DRNK to meet and confer with Plaintiffs' counsel about the authenticity problems, but ultimately "found that, while DRNK met about other discovery matters, its counsel refused to confer about the franchise agreements. Judge Nakamura noted that DRNK was 'given the opportunity to supplement its production, but did not,' 'the opportunity to explain the deficiency, but did not,' and 'the opportunity to ask for more time to provide a legitimate response, but did not.' (Referee's DRNK Report, pp. 12, 15.) In opposition to Plaintiffs' proof that franchise agreements were falsified, Judge Nakamura was left with 'little explanation' for the deficiencies 'except for the bald assertion that there were "numerous" innocent explanations,' or in other words, no evidence at all to contest Plaintiffs' showing. (Id., p. 12, 15.)" (3/30/23 Order, p. 3.) Based on this record, Judge Nakamura recommended monetary sanctions of \$18,229.25 against DRNK and its counsel, an order barring DRNK from introducing the false documents or any other written agreements executed by DRNK with 110 Sunshine, and an order shifting to DRNK all of Plaintiffs' costs in handling the dispute including repayment of the referee's deposit. (Id.)

DRNK lodged a long list of objections to the recommendation – all of which were overruled by this Court. In its rulings on DRNK's objections, the Court found that it had been provided with "ample opportunity to present evidence to rebut Plaintiffs' showing that falsified documents had been produced by DRNK, which refused to submit any probative evidence on the issue," and thus were accorded "[a]dequate and even fulsome due process" by Judge Nakamura. (Court's March 30, 2023 Order, p. 5.) The Court also ruled that "Plaintiffs' evidence provided a strong foundation for Judge Nakamura to

conclude that there was information in the franchise agreements produced by DRNK that was false and that, far from offering evidence to explain or rebut the deficiencies apparent on the face of those documents, DRNK and its employee, Ms. Hance, failed to offer any evidence at all that would clarify the meaning of the discrepancies revealed in the documents and/or the deposition testimony secured by Plaintiffs." (Id.,

p. 6.) The evidence detailed in the

Court's ruling paints a vivid picture of the falsity involved in the seven franchise agreements:

The

evidence proffered by Plaintiffs showed that DRNK's managing member and bookkeeper, Sherry Moaven, testified in July 2021 that her search for agreements between DRNK and 110 Sunshine turned up no documents and that she was aware of no such agreements. . . . In response to the Court's discovery order, however, DRNK produced seven Franchise Agreements in March 2022, in connection with a discovery response verified by Ms. Moaven. . . . The seven agreements were all executed on December 28, 2015 but include Notary Certificates of Acknowledgment by Cecille Hance, a DRNK employee, with an expiration date proving the stamp was not issued until February 11, 2017, more than one year after the stamp was allegedly used to notarize the signatures on the agreements. . . . The notary, Ms. Hance, testified in deposition that she received her first commission in February 2017. . . . The Franchise Agreements are suspicious too because the signature pages on six of the agreements appear to be photocopies of the signer's autograph (looks like Robert Lopez) on Franchise Agreement No. 7001, which is the only one signed in blue, as compared to the identical black signatures on the others. . . . Further, although Defendant Gholam's signature appears on the produced agreements, his deposition testimony states he never signed any documents on behalf of 110 Sunshine. . . . Also curious is the evidence that all seven franchise agreements list mhance110@gmail.com as the email address for the holder of legal interest in the franchise, but Ms. Hance confirmed in her deposition that this was her own email address and that she never authorized anyone else to use it. .

. .

In addition to this evidence,

Plaintiffs also produced evidence that DRNK blocked and delayed Plaintiff's efforts to depose Ms. Hance and refused to meet and confer with Plaintiffs or provide any sworn declarations or other evidence to explain the facial discrepancies revealed by the seven documents produced by DRNK. . . . At her

deposition, Ms. Hance admitted that the first time she notarized any document was in March 2017, that she does not recall Defendant Gholam signing the seven franchise agreements in her presence, and that she did not recognize her signature and seal on the first franchise agreement she was shown in deposition. . . . Further, neither DRNK nor Ms. Hance provided any response or explanation as to a series of significant questions, including whether they have any reason to believe that the December 28, 2015 execution date on the seven franchise agreements is inaccurate, whether Defendant Gholam's signature on the first franchise agreement used at the deposition appeared to be authentic, whether it was Ms. Hance or Defendant Fariba who affixed Gholam's signature on the document, whether the information in the Notary Certificates on the franchise agreements is true, who created the franchise agreements, and who was present when the Notary Certificates were signed. . . . While neither Judge Nakamura nor this Court may draw adverse inferences from Ms. Hance's invocation of her constitutional privilege against self-incrimination, both are plainly entitled to comment on and reach negative conclusions from the failure of a witness or party to explain or deny the significance of key evidence. (Evidence Code § 913 and Comment — Assembly Committee on Judiciary, following 913.)

(March 30, 2023 Order, pp. 5-6 [citations to evidence omitted].) The Court concluded based on this evidence that the false information in the documents themselves combined with DRNK's "utter failure – nay, downright refusal – to make any effort to 'explain or deny' the falsity of the documents it produced in discovery supports Judge Nakamura's conclusion that DRNK violated this Court's order by producing these false documents accompanied by a verification that they reflected 'agreements' between DRNK and 110 Sunshine." (Id., p. 6.) The perfidy in attempting to pass off these falsified documents as legitimate "agreements" was reinforced by DRNK's rejected contention that the production of such documents was required for full compliance with the Court's order because of their titles as "Franchise Agreements." As the Court noted in March 2023, the idea that DRNK could legitimately produce these documents as responsive to a request for actual franchise agreements, without revealing their fraudulent character, is "offensive to the Court and to the purposes of the Discovery Act." (Id.)

Based

on these considerations, the Court overruled the DRNK Defendants' objections to the referee's findings and, following Judge Nakamura's recommendations, imposed

significant sanctions on these defendants.

Specifically, the Court ordered sanctions against DRNK as follows: “(1) monetary sanctions in the amount of \$18,229.25 against DRNK and its attorney to be paid within 10 days of the Court’s order; (2) fact preclusion against DRNK barring introduction of the seven false documents and prohibiting DRNK from offering any other written agreements it entered into with 110 Sunshine; and (3) payment by DRNK of all costs related to the discovery referee’s handling of this dispute, including repayment of the referee’s deposit.” Consistent with Judge Nakamura’s recommendation, the Court denied additional sanctions requested, including fact preclusion sanctions barring any evidence on the issue of whether 110 Sunshine is a franchisee of DRNK, issue preclusion sanctions with respect to DRNK’s alleged role in creating the falsified documents, and the issuance of an order to show cause why DRNK should not be held in contempt. (Id., p. 7.) The Court’s ruling was expressly without prejudice to Plaintiffs’ right to seek adverse inference or other jury instructions at or before the trial of this matter. (Id.)

The Court ruled on another motion for sanctions against the DRNK Defendants on October 19, 2023. (RJN, Exhibit E [Minute Order, filed 10/19/23].) In that order, the Court sustained Plaintiffs’ objections to a different discovery referee’s wholesale denial of their motion for terminating sanctions based on the DRNK Defendants’ failure to comply with a February 22, 2022 order requiring them to produce certain documents. In sustaining some of Plaintiffs’ objections to the referee’s recommendation, the Court first ruled that the DRNK Defendants’ failure to produce any 2017 payroll records -- nearly 20 months after being ordered to do so -- should be met with a sanction precluding them from introducing any evidence “that it had anyone as an employee in 2017” and limiting the DRNK Defendants to “evidence of independent contractors identified in the 1099 forms produced.” (10/19/23 Minute Order, p. 7.) The Court also credited Plaintiffs’ contention that Defendants had failed to produce all underlying source documents substantiating their payments from 110 Sunshine to DRNK, from DCT Real Estate (a DRNK affiliate) to DRNK, and from Defendant Fariba Atighehchi to DRNK’s vendors on DRNK’s behalf and rejected Defendants’ excuse that no additional documents existed. (Id., p. 8.) As a sanction, the Court prohibited Defendants from introducing any documents that might be responsive to the document requests seeking the source documents and the 2017 payroll records and barred the DRNK Defendants from offering evidence to show they did not commingle employees with 110 Sunshine during 2017 or that 110 Sunshine and DRNK each paid for their own vendors. (Id., p. 10.)

At

trial, Plaintiffs offered evidence that Defendants' 2017-2020 financial records exposed a differential in the payments between DRNK and 110 Sunshine that amounted to 110 Sunshine owing more than \$600,000 to DRNK. (RJN Exh. J [Final Statement of Decision, filed 10/31/25], p. 27.) DRNK's sole member and manager Sherry Moavan testified at length that this discrepancy arose from 110 Sunshine's payments to third parties on DRNK's behalf and attempted to identify certain ledger entries in 110 Sunshine's records that she claimed were for specific payments she described, but she offered no documentary proof supporting her testimony. (Id., pp. 27-30.) As the Court has already found, "[t]his exercise disclosed that her testimony was largely fabricated to explain the \$600,000 deficit between 110SS and DRNK revealed in her own discovery responses." (Id., p. 28.) Defendants sought to corroborate Moaven's testimony through the sworn statements of Fariba Atighehchi, but the Court found that testimony to be equally incredible. (Id.) Finally, towards the end of trial, Defendants offered an alleged Quickbooks report (Exhibit 787) which Defendants presented as having notations drawn from the Quickbooks account that corroborated Moaven's testimony about the targets of certain payments in the ledger. A comparison of this proposed exhibit and the actual Quickbooks report produced during discovery disclosed that vague "notations like 'deposit to 110 payroll' and 'deposit to general' that were in the original records had been replaced – apparently mid-trial – with labels like 'product,' 'equipment,' and 'Milsam' and 'Hoover' (to show payments to landlords)" in a transparent attempt to shore up Moaven's unsubstantiated justifications for many of the unexplained payments between the parties. (Id., p. 30.) Based on this development, the Court concluded that "Moaven and the DRNK defendants attempted to offer a doctored exhibit to substantiate Moaven's speculation about the nature of certain unidentified payments." The exhibit was rejected by the Court, which also found that the "development sorely undercut Moaven's credibility in the eyes of the Court." (Id.)

Also during the first phase of trial, on January 10, 2024, Mitchell Baker testified that in the weeks leading up to trial, he had had several conversations with Fariba Atighehchi and Mr. Nariman in which they tried to convince him not to testify or to give false testimony. As the Court wrote in its statement of decision,

Baker testified that

Fariba reached out to set up dinner with him in November 2023 on the eve of the trial. At dinner, she told Baker he had to change the testimony he gave in his deposition to get her out of this entire lawsuit. (TT 680-681.) Fariba also informed Baker that she had told Nariman that she would “ring his neck” if he failed to give Baker and Amir (Atighehchi’s son) financial payouts if DRNK Franchising was sold because they had “really started the DRNK Coffee and Tea concept.” (TT 682.) Fariba swore that Nariman knew nothing about her effort to reach out to Baker, but he did not believe her because the siblings are very close. (TT682.)

Nariman called Baker a

few weeks later in or about December 2023 to urge Baker to say he had been mistaken in his deposition, that he had said the wrong things, and that people do that all the time and escape any repercussions. (TT 685.) Nariman also opined that Plaintiffs had no case because of a release signed by Suavet, just as Baker was going to lose another lawsuit Nariman had pending against him. (TT 686.) Nariman suggested that Baker evade service of the trial subpoena so he would not have to testify at all at the trial in this case. (TT 687.) The next day Fariba called offering to help Baker in evading service, saying she would pay to send Baker away and cover his hotel and expenses for a couple of weeks. (TT 688-689.) Baker replied that he was uncomfortable doing that. (Id.)

Soon after, Nariman

called again to give Baker ideas about how to avoid being served with the anticipated trial subpoena and to perjure himself if he was forced to testify. (TT 689-691.) Baker expressed his fears that Nariman would retaliate against him for telling the truth by trying to get Baker fired from his job at Robeks Corporation or otherwise “taking things into his own hands.” (TT 691-692.) Baker also attested to receiving multiple calls from Fariba and Nariman in December 2023 and January 2024 leading up to the trial. (TT 694-695; Exh. 1014-1016.) During a trial break, Fariba looked Baker straight in the eyes and said, “Thank you for lying,” which made him very uncomfortable. (TT 747.) She also found Baker in the hallway and took a photo of him with her phone and then walked away. (TT 748.)

During the

trial, the Court issued a no-contact order in the presence of, inter alia, Thomas Narriman, Sherry Moaven, and Fariba Atighehchi, as follows: “The Court issues an admonition to all

parties not to interact with witness Mitchell Baker during the course of this trial, for the remainder of this trial and outside the context of this trial.” (Minute Order, filed January 10, 2024, p. 2.)

On March 5, 2024, Plaintiffs made an ex parte application for an order to show cause re: contempt, asserting that Mr. Nariman called Mr. Baker on February 24, 2024, and made threatening statements. The Court took the matter under submission, and on March 29, 2024, issued an order to show cause concerning the phone call. After Plaintiffs made numerous attempts to personally serve Mr. Nariman with the OSC, the Court took it off calendar on June 13, 2024, without prejudice to refiling once Mr. Nariman had been served. It was apparently never served.

On October 31, 2025, the Court issued its final statement decision on the first phase of trial in this matter, concerning alter ego issues. As noted above, the Court summarized Mr. Baker’s testimony about the communications Mr. Nariman and Ms. Atighehchi had made to him, and held:

The Court finds there is probable cause to charge Fariba and Nariman with engaging in witness tampering by trying to intimidate and/or bribe Baker to convince him to evade service of a lawful subpoena and to offer perjured testimony at trial. The Court issues an order to show cause why the Court should not impose sanctions on Fariba and/or Nariman for such misconduct and sets a hearing on the Order to Show Cause on December 16, 2025, at 9:00 a.m. Any briefs in response to the OSC are to be filed at least ten court days before the hearing.

On December 16, 2025, the Court conducted a hearing on an order to show cause why Mr. Nariman and Ms. Atighehchi should not be sanctioned for witness tampering. After reviewing their responses to the OSC, the Court found that the conduct that took place at the trial did not violate the subsequently issued no-contact order (and in fact was what motivated the no-contact order) and discharged the OSC rather than initiate proceedings for contempt.

Mr. Baker and his brother, Jeffrey Muller, testified to the following occurrences following the no-contact order. On

February 23, 2026, Mr. Nariman, who is known to Mr. Baker as “Moe,” called Mr. Baker from a blocked number. Mr. Nariman stated that Plaintiffs were “full of shit” and that Gholam Atighehchi and Fariba Atighehchi had placed their real estate assets in their children’s names to prevent Plaintiffs from collecting from them. Mr. Muller was in the car and heard the conversation over the speakerphone. Mr. Nariman is known to Mr. Muller as well, and Mr. Muller recognized his voice from the several conversations he had listened in on between his brother and Mr. Nariman. Mr. Muller reports Mr. Nariman spoke with Mr. Baker about other franchisees, including “various people whom, in his words, were out to ‘screw’ him.” Mr. Nariman later referred to a lawsuit, and asked Mr. Baker whether he would be willing to change his testimony, testify favorably for him, or just not testify in a particular way.

On

March 5, 2026, Mr. Nariman called Mr. Baker again, and Mr. Baker told him “[y]ou’re not supposed to call me[.]” On that call, Mr. Nariman said he could still sue Mr. Baker or otherwise go after him.

Mr. Baker stated to the Court that “[d]ue to the actions of Moe and his sister Fariba at the time of my initial testimony in this trial in January 2024, and further due to the February and March 2026 telephone calls that I received from Moe, I have serious concerns for my physical safety were I to return to the Los Angeles area in person.”

Mr.

Baker presented phone records from T-Mobile showing incoming calls from a blocked number, one on February 23 at 1:37 lasting 11 minutes and one on March 5 at 1:01 lasting 12 minutes. Mr.

Nariman submitted no evidence with his opposition. The Court conducted an evidentiary hearing on the matter, after which it determined that Plaintiff’s contentions were substantiated, the DRNK Defendants had violated the no-contact order, and that the motion for terminating sanctions should be granted. This motion to dismiss the cross-complaint followed.

LEGAL STANDARDS

Courts

have an “inherent power to terminate litigation for deliberate and egregious misconduct—conduct that makes lesser sanctions inadequate to ensure a fair

trial[.]” a power “essential for the court to preserve the integrity of its proceedings.” (Stephen Slesinger, Inc. v. Walt Disney Co. (2007) 155 Cal.App.4th 736, 761 (Slesinger), accord City of Los Angeles v. Pricewaterhouse Coopers, LLP (2024) 17 Cal.5th 46, 72.) This power “restores balance to the adversary system when the misconduct of one party has destroyed it.” (Slesinger, supra, 155 Cal.App.4th at 761.) “[A] court’s exercise of inherent power to dismiss for misconduct need not be preceded by violation of a court order.” (Id. at 764.) “The essential requirement is to calibrate the sanction to the wrong. Whether the misconduct violates a court order is relevant to the exercise of inherent power, but it does not define the boundary of the power.” (Ibid.)

The decision whether to exercise the inherent power to dismiss requires consideration of all relevant circumstances, including the nature of the misconduct (which must be deliberate and egregious, but may or may not violate a prior court order), the strong preference for adjudicating claims on the merits, the integrity of the court as an institution of justice, the effect of the misconduct on a fair resolution of the case, and the availability of other sanctions to cure the harm.

(Ibid.)

DISCUSSION

This motion is essentially a follow-on from the prior one, based on the same misconduct. The operative First Amended Cross Complaint (FACC) arises from the same transactions as Plaintiffs’ pleadings, namely the Franchise Agreement and the business dealings between Plaintiffs and the DRNK Defendants. (Compare Complaint, ¶¶ 12-39; FACC, ¶¶ 10-26.)

The Court has ruled that the DRNK Defendants’ misconduct in connection with litigating the Franchise Agreement and business relationship was deliberate and egregious, at times violative of a court order, threatened the integrity of the court as an institution of justice, and directly undermined the Court’s ability

to adjudicate the merits fairly, outweighing the strong preference in favor of adjudication on the merits. (See Slesinger, supra, 155 Cal.App.4th at 761.)

The DRNK Defendants' arguments to the contrary are unavailing. Had Plaintiffs included the request that the FACC be stricken in their motion for sanctions, the Court would have granted it and stricken the FACC. It is therefore appropriate that the Court grant Plaintiffs' instant motion.

It is unnecessary for the Court to wade into the parties' dispute over the application of *Walsh v. West Valley Mission Community College District* (1998) 66 Cal.App.4th 1532. While the DRNK Defendants are correct that a cross-action has separate procedural existence from the complaint and is an affirmative case unto itself, the DRNK Defendants' FACC is independently subject to being stricken due to their proven misconduct. It is immaterial whether the DRNK Defendants are in default as to the operative complaint.

The Court agrees that Plaintiffs' citation of *Pelton-Shepherd Industries, Inc. v. Delta Packaging Products, Inc.* (2008) 165 Cal.App.4th 1568, is inapt. That case contains no rule that it is always and per se appropriate to strike both an answer and a cross-complaint, and indeed, the Court of Appeal reversed the trial court's order doing so. (See *Id.* at 1591.) Moreover, while recognizing the question was unnecessary to its disposition, the Court of Appeal suggested that the trial court's decision to strike both pleadings was error, since the discovery issue precipitating the sanction pertained only to one and not the other:

Notwithstanding the fact that Pelton-Shepherd had essentially admitted in arguing Delta's motion for relief from the waiver of objections that the documents sought in demands Nos. 18 through 21 were relevant only to a single cause of action in Delta's cross-complaint, Pelton-Shepherd nonetheless sought as terminating sanctions the dismissal of Delta's cross-complaint and the striking of Delta's answer. Because we conclude the trial court prejudicially abused its discretion in ruling on two of the discovery motions that preceded Pelton-Shepherd's renewed motion for terminating sanctions, we need not decide whether the trial court abused its discretion in striking the answer when the documents at issue had nothing to do with Pelton-Shepherd's complaint.

(Id.
at 1581 fn. 18.)

In
contrast, the DRNK Defendants' misconduct here had equal bearing on the issues
in the FACC as it did on their defense to Plaintiffs' complaint. It is not automatic that a defendant and
cross-complainant who commits misconduct in connection with their defense is
put out of court on their cross-complaint, but where, as here, the complaint
and the cross-complaint arise from the same factual transactions, misconduct
which ejects the defendant from court on the complaint will likely do so as to
the cross-complaint. As Plaintiffs detail in their briefing, the Court has
already entered default against the DRNK Defendants on their claims seeking
rescission of the July 2019 Refund Agreement (First Cause of Action) and of the
franchise sale (Fourth Cause of Action), as well as a claims for breach of
contract on the October 2018 Franchise Agreement and the July 2019 Refund
Agreement (Second Cause of Action).

These defaults established all elements of these causes of action
against the DRNK defendants, who cannot continue to maintain contrary claims
against Plaintiffs based on these same contracts. (FACC, pp. 3-8 [First Cause of Action for
breach of the October 2018 Franchise Agreement; Second Cause of Action for
breach of the implied covenant in the July 2019 Refund Agreement; and Third
Cause of Action for declaratory relief as to the parties' contractual
relations].) Given the parallel nature
of Plaintiffs' defaulted causes of action and the DRNK defendants' responsive crossclaims,
the Court finds that the DRNK defendants' misconduct that led to their default
in connection with Plaintiffs' claims provides a strong foundation for a
determination that their mirrored crossclaims must also be barred from being
prosecuted at trial.

The
parties' disagreements about Plaintiffs' other authorities merit little
discussion. *Liberty Mutual Fire Ins. Co. v. LcL Administrators, Inc.* (2008)
163 Cal.App.4th 1093 is not helpful in this context. In that case, the plaintiff insurer sued the
defendant insured, contending that it was owed additional premiums under
certain workers compensation policies due to the number of claims made. (Id. at 1095.) The defendant cross-complained for
bad faith,
mishandling of claims, and breach of contract in connection with the insurer's
handling of those claims. (Id. at
1095-1096.) The trial court granted

terminating sanctions on the complaint and cross-complaint separately, on similar but distinct grounds pertaining to different acts of discovery misconduct. (See Id. at 1096-1101.) This case is not instructive for the circumstances here.

In

Electronic Funds Solutions, LLC v. Murphy (2005) 134 Cal.App.4th 1161, a company and its chief executive sued two other officers for various business torts. (Id. at 1167-1168.) The defendants seemingly cross-complained against the plaintiffs, but it is unclear what the basis for the cross-complaint was and to what extent it related to the same circumstances as the affirmative complaint. (See Id. at 1172 [referencing cross-complaint].) It too is no help.

All

of that said, it is appropriate for the Court to grant the motion. The DRNK Defendants engaged in deliberate and egregious misconduct in responding to discovery in this case, discovery which bore equally on the issues underpinning both the Complaint and the FACC. DRNK also offered a fabricated exhibit during the first phase of trial to shore up what the Court deemed to be wholly unbelievable testimony by DRNK's Sherry Moaven and 110SS's Fariba Atighehchi. Further, principals for both DRNK and 110SS attempted to bribe and/or coerce a key witness to change his testimony or evade a trial subpoena for testimony at trial. What is more, in the face of the Court's no-contact order, DRNK's primary manager and alter ego, Thomas Nariman, called the protected witness two times in 2026 in a renewed effort to induce him to give perjured testimony during the upcoming second phase of trial. Under these circumstances it is just as appropriate to strike and dismiss the FACC as it was to strike the answer and enter the DRNK Defendants' default. The Court will therefore do so.

CONCLUSION

For

the foregoing reasons, the motion is GRANTED.

The Court hereby strikes the First Amended Cross-Complaint filed by DRNK Coffee + Tea Franchising, LLC and Thomas Nariman and dismisses the cross-action based on it. DRNK Coffee + Tea Franchising, LLC and Thomas Nariman shall take nothing by the First Amended

Cross-Complaint. Plaintiffs to give notice.